

► **THE UNION BUDGET'S** proposal to include non-resident investors in the scope of angel tax has led to widespread concern in venture capital (VC) and start-up circles. This provision, under Section 56(2)(viib) of the Income Tax Act, states that any premium paid above the fair market value of unlisted company shares by an investor—Indian or foreign—will be subject to taxation. Earlier, this tax was applicable only for investments made by domestic investors.

Start-ups—on whom the tax will be levied—fear this would hit their fundraising prospects as foreign investments are estimated to make up over 90 per cent of private capital invested in them. The additional tax liability on start-ups is expected to deter foreign investors from betting on Indian ventures.

18 | “Start-ups that raised capital would get tax notices asking them to justify their valuations against actual performance. If the divergence of the projections in the valuation report and actual performance is high, the tax officer would dismiss the valuation report and tax all

| **START-UPS** |

Angel's Pinch

The Budget's move to include non-resident investors within the scope of angel tax has the start-up and investor communities worried

BY BINU PAUL



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| **SPORTS** |

PUSHING BOUNDARIES

The inaugural edition of WPL is expected to bring in a seismic change in women's cricket in India

BY PRERNA LIDHOO

► **CRICKET HAS LONG** been considered a sport for men but that is set to change with the inaugural edition of the Women's Premier League (WPL). The mega event, created on the lines of the men's Indian Premier League (IPL), will be held between March 4 and 26. The BCCI expects the WPL to bring in a seismic change in women's cricket and turn it into a money-spinner. BCCI has already raked in ₹4,670 crore from the auction of five WPL teams—Mumbai, Delhi, Bengaluru, Ahmedabad and Lucknow. On average, each team was sold for ₹930 crore, compared to the average ₹500 crore fetched by the eight IPL teams in 2008. Men's cricket, however, has traditionally attracted a large audience base. As per financial services firm Elara Capital, the average reach of women's cricket in India is 20 million, and the number for IPL goes up to around 500 million.

But broadcasters and advertisers are hopeful, says Anil Jayaraj, CEO (Sports) at Viacom18 Media. The company has paid ₹951 crore for the media rights of WPL for five years and Jayaraj is confident that this will prove to be an invaluable asset. “My philosophy is that

